TEACHER GUIDE DRAFT

Junior Cycle Business Studies (NCCA)

Final accounts

Strand 2: Enterprise
2.13 Final accounts; Strand 1 · 1.13 Income and expenditure



A revision lesson. Pupils run a car dealership in firms of four and revise final accounts on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Total monthly costs

Round 1

A month at the yard.

Total costs for the month?

Fixed costs, a month	**€8,000**
You pay per car	**€17,500**
Cars sold	**4 cars**

ANSWER

€78,000

€8,000 + 4 × €17,500 = €78,000

Why: Fixed costs stay the same. Variable costs grow with every car.

2 Fixed or variable

Round 1

You list your dealership's costs for a month.

Which two are fixed costs?

- **A** Valeting each car sold
- **B** Rent on the showroom
- **C** Cars bought to sell
- **D** Commission on each sale
- **E** The manager's salary

ANSWER

✓ Rent on the showroom
✓ The manager's salary

Why: Rent and salaries stay the same however many cars you sell.

3 Rank by profit

Round 2

Three months: cars sold, the price, and total costs.

Order by profit, highest first?

- **A** 6 at €15,000, costs €75,000
- **B** 20 at €5,000, costs €90,000
- **C** 10 at €9,000, costs €70,000

ANSWER

1. 10 at €9,000, costs €70,000
2. 6 at €15,000, costs €75,000
3. 20 at €5,000, costs €90,000

Why: Profit: €20,000, €15,000, €10,000. The most revenue made the least profit.

Topic tasks

4 Average unit cost

Round 2

Cost of each car sold.

Average cost per car?

Fixed costs, a month	**€2,500**
Variable cost per car	**€9,500**
Cars sold	**5 cars**

ANSWER

€10,000

€2,500 ÷ 5 + €9,500 = €10,000

Why: Each car carries €500 of the fixed costs.

5 More sales or cuts

Round 3

Each car adds €400 (price minus cost); you sell 15 a month. Sell 5 more, or cut fixed costs €1,500?

Which raises profit more, and why?

A Cut fixed costs by €1,500

B Sell 5 more cars

ANSWER

✔ **Sell 5 more cars**

Why: 5 × €400 = €2,000, more than the €1,500 saved.

6 Profit after rise

Round 3

Costs are going up.

Profit after the rise? Minus allowed.

Sales	**€100,000**
Variable costs	**€45,000**
Fixed costs	**€15,000**
Variable costs rise by	**10%**

ANSWER

€35,500

€100,000 − €45,000 − 10% (€4,500) − €15,000 = €35,500

Why: The rise adds €4,500 to variable costs.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Cash, profit and VAT”: the 6 come from these 10 questions.

Then each pupil writes one short answer: “Explain the difference between fixed and variable costs.”

1. You bought a used hatchback for €8,400 and sold it to a customer for €10,400. VAT is 23/123 of the margin. How much VAT does this sale leave to pay?
   ✔ **€374**

2. This round your firm sold three vehicles. The margins were €1,500, €3,300 and a loss of €600. How much VAT does the round's return ask for?
   ✔ **€897**

3. Your firm has sold cars this round but has not filed the VAT return yet. Where does the VAT you owe show?
   ✔ **As a debt in the net position until the return is filed and paid**

4. A customer pays your firm €12,000 for a car that cost you €9,800. Who pays the VAT on this sale to Revenue?
   ✔ **Your firm, out of the price it received, when it files the return**

5. You sold a van for €15,000 that cost €11,700. What is left of the margin after the VAT on this sale?
   ✔ **€2,683**

6. Your firm owes €1,122 of VAT this round and files the return late. The late charge is €125. What does the late return cost in total?
   ✔ **€1,247**

7. Cash €150,000, stock at cost €40,000, a loan of €25,000 and unpaid VAT of €1,200. What is the net position?
   ✔ **€163,800**

8. Your cash went up by €10,400 when a customer paid for a car that cost €8,400. How much of that cash is not really yours to spend?
   ✔ **The VAT on the margin, €374, which is owed to Revenue**

9. You sell two scooters to customers: one bought for €2,100 and sold for €2,600, one bought for €2,400 and sold for €2,700. How much VAT do the two sales leave?
   ✔ **€149**

10. The VAT return opens in the final 90 seconds of the round. Your firm has €2,600 of VAT to pay and €1,900 in cash. What happens if you file now?
    ✔ **The return cannot be paid in full; the firm needs €700 more cash before it files**